Broadway Court - Executive Summary

2031-2033 & 2021-2025 W Broad St | Columbus, OH 43223

Investment Opportunity Overview

Property Type: 30-Unit Multifamily (12 one-bedroom, 18 two-bedroom)
Location: West Broad Street corridor, 10 minutes to Downtown Columbus
Asking Price: $1,695,000 ($56,500/unit)
Total Investment: $2,071,020 (including renovations, closing costs)
Strategy: Value-add acquisition with immediate lease-up and renovation opportunity

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Investment Highlights

Primary Value Driver: Property is 37% vacant (11 empty units) representing $117,000 in lost annual income. Immediate opportunity to capture value through aggressive lease-up and unit renovations.

Built-In Equity: Purchasing at $56,500/unit versus $80,000/unit market value creates $705,000 in immediate equity (29% discount to market).

Clear Execution Path:

- Renovate 11 vacant units at $13,500/unit ($148,500 total capex)
- Implement utility submetering (recover $16,000-$20,000 annually)
- Fill vacancy to 95% occupancy within 18 months
- Optimize operations and reduce expense ratio from 47% to 34%

Market Fundamentals: Columbus MSA benefits from diverse economy (education, healthcare, tech, government), strong population growth, and established rental demand in workforce housing segment.

Financial Summary

Metric	Current	Stabilized (WITH Tax Appeal)	Stabilized (WITHOUT Tax Appeal)

NOI	$98,855	$203,092	$185,115
Cap Rate	5.8%	12.0%	10.9%
Expense Ratio	47.2%	34.0%	39.9%

Projected Returns (75% LTV, 3-Year Hold):

- **WITH Tax Appeal:** 33.9% IRR | 2.26x Equity Multiple | $855k Profit
- **WITHOUT Tax Appeal:** 29.2% IRR | 2.03x Equity Multiple | $612k Profit

Projected Returns (75% LTV, 5-Year Hold):

- **WITH Tax Appeal:** 26.7% IRR | 2.83x Equity Multiple | $1.40M Profit
- **WITHOUT Tax Appeal:** 22.8% IRR | 2.48x Equity Multiple | $1.11M Profit

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Critical Risk Factor: Property Tax Appeal

The Issue: Property taxes are $51,362 annually (27.4% of income) - severely elevated for a $1.695M purchase price. The property is assessed as if worth $2.5M+.

The Requirement: Must file property tax appeal within 30 days of closing based on purchase price. Expected reduction: 30-40% ($15,000-$20,000 annual savings).

Impact: Tax appeal represents $18,000 in annual NOI and $240,000-$290,000 in exit value. Success adds 4-5% to IRR across all hold periods.

Mitigation: Engage property tax consultant during due diligence period ($2,000-$3,000 fee) to assess appeal viability. Conservative underwriting assumes appeal success; fail scenario still delivers 29% 3-year IRR.

Capital Structure

- **Total Project Cost:** $2,071,020
- **Senior Debt (75% LTV):** $1,271,250 @ 6.75-7.0% | 10-year term | 25-year amortization
- **Total Equity Required:** $799,770
  - LP Investment (95%): $759,782
  - GP Investment (5%): $39,988
- **Preferred Return:** 6.25%
- **GP Promote:** 30% (after pref return)

Key Investment Considerations

Strengths:

- Exceptional returns even in downside scenario (29% IRR without tax appeal)
- Multiple value-add levers (vacancy, rents, expenses, tax appeal)
- Significant built-in equity cushion ($705,000)
- Conservative rent underwriting ($865 avg vs $890+ market potential)
- Strong Columbus market fundamentals

Execution Requirements:

- File property tax appeal within 30 days (non-negotiable deadline)
- Complete $212,500 renovation program across 11-19 units
- Execute aggressive 18-month lease-up strategy
- Implement utility submetering during renovations
- Optimize property management and operations

Primary Risks:

- Property tax appeal failure or minimal relief (29% IRR vs 34% IRR)
- Renovation budget overruns (conservative $13.5k/unit may increase)
- Extended lease-up timeline (18 months vs 12 months projected)
- Market rent assumptions ($865 avg may be optimistic for location)

Investment Recommendation

At $1,695,000 Asking Price: Strong investment opportunity with excellent risk-adjusted returns. Even in fail scenario without tax appeal, delivers 29% 3-year IRR and 23% 5-year IRR - exceptional for value-add multifamily. Conservative underwriting provides downside protection while maintaining compelling returns.

Recommended Action: Engage property tax consultant during due diligence to assess appeal viability. If consultant confirms 25%+ reduction likelihood, proceed at asking price. If uncertain, negotiate to $1,625,000-$1,650,000 for additional margin of safety.

Optimal Hold Strategy: Target 3-year exit (33.9% IRR) with option to extend to 5 years if market conditions favorable (26.7% IRR, higher absolute profit).

Deal Quality Rating: 8.0/10 - Strong fundamentals, clear value-add path, compelling returns with manageable execution risk.

Next Steps for Interested Investors

1. Review full Investment Memorandum (20+ pages) for detailed analysis
2. Schedule property tour and vacant unit inspection
3. Review detailed financial pro forma and sensitivity analysis
4. Participate in investor Q&A call with sponsor
5. Submit investment indication and reserve allocation

For additional information or to schedule a site visit, please contact one of our investment sponsors.